

After formulating an appropriate asset allocation based on your assets and your future liabilities, the other side of the coin is your tolerance for investment risk. Risk tolerance is a measure of the amount of price volatility and investment loss you can withstand before changing your behavior. The ideal portfolio may give you concern during a bear market, but it does not have enough volatility to lead you to change your investment strategy. A portfolio with too much risk will cause a change in behavior during a volatile period, which results in a change or abandonment of an investment plan.

An emotional decision to change or abandon an investment plan as a result of market risk ultimately *increases* portfolio risk and reduces return. People become emotional only after they lose money. If an investor has been in a bad market long enough to lose money, that investor doesn't want to be out of the market when it turns around. That becomes a strategy of all risk and no return.

An emotional decision does not necessarily result in the sale of risky investments. It could simply mean not investing new money in the markets at the time when you intended to, or delaying portfolio rebalancing into stocks while you "wait and see" what happens to the market.

If by chance an investor happens to time the market correctly in the short term, it may lead to large losses in the long run. Investors who guess correctly one time tend to attribute their good fortune to their investment skill rather than to luck. Once people believe that they are able to "read" the markets, they set themselves up for big and costly mistakes in the future.

HOW BEHAVIORAL FINANCE AFFECTS YOU

Finding your personal risk tolerance can be a tricky business. People understand that investing requires risk; however, it is common for people to overestimate the amount of risk they can handle. This is especially true during a prolonged bull market.

During the late 1990s, almost every investor was making money in the stock market. Investing seemed like a one-way street of high returns with little risk. Every time stock prices hiccuped, all that was said was, "Buy the dips." It was difficult to find an active investor who didn't think he or she was smart. The television media reinforced that belief by keeping investors